

Fearnleys Dry Bulk Weekly

Aug 19, 2026

Capesize/Newcastlemax

Market levels have fallen back to pre-cyclone levels as operations have normalised. Going forward, the above-average laden/ballast ratio and the relative increase in vessels ballasting toward the Atlantic give a slightly bearish outlook near-term.

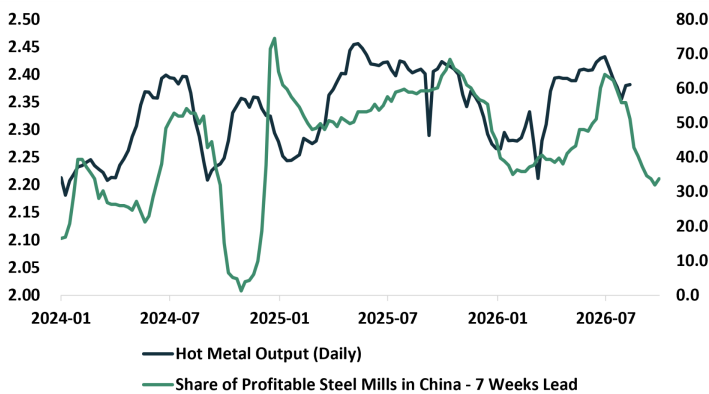
Top left chart: Clear suggestion by the falling share of profitable steel mills that hot metal output will continue to fall sharply over the next weeks.

Top right chart: Through week 33, shipment volumes were 4.7% higher than the same period last year. Comparing the last eight weeks with the same weeks last year, shipment volume growth was up 2.2%. DWT supply growth remains at 1.8%.

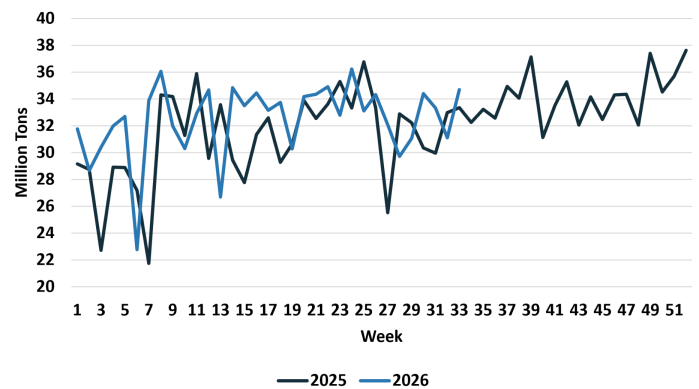
Bottom left chart: The SATI still sits around the longer-term average, and is thus not suggesting anything clear direction-wise in the near-term.

Bottom right chart: The laden/ballast ratio has increased since last week and is now above the longer-term average, thus giving a slightly bearish bias.

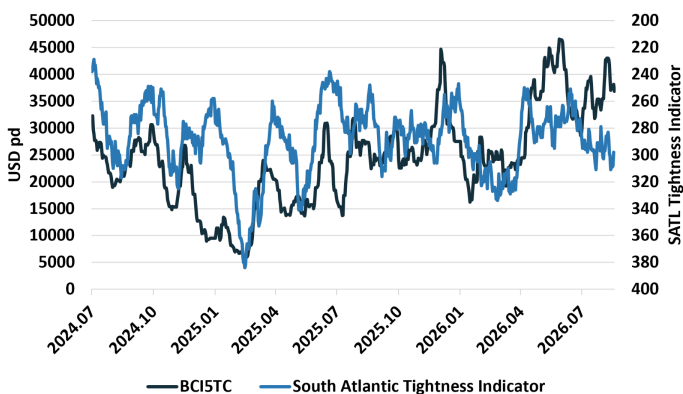
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



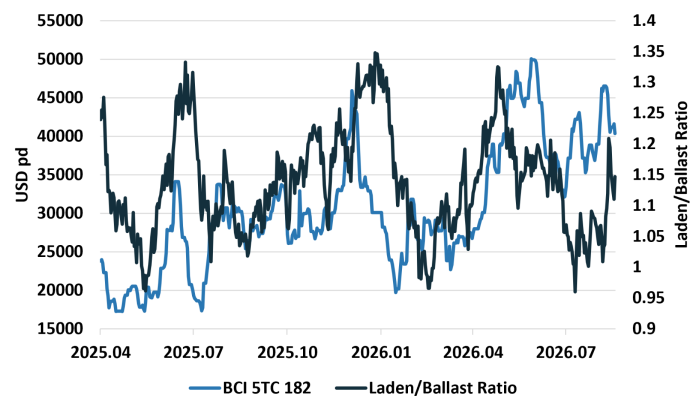
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio





Panamax/Kamsarmax

Shipment volume growth continues to weaken. Through week 33, growth declined further, to 3.3%, compared to DWT supply growth of 4.2%. Comparing the last 8 weeks to the same period last year, shipment volume growth declined by 1%. So, the direction of the "big wave" is clearly down, and the "smaller waves" shown in this report are now looking toppish. The market could soon find itself at lower levels than it was at the same period last year.

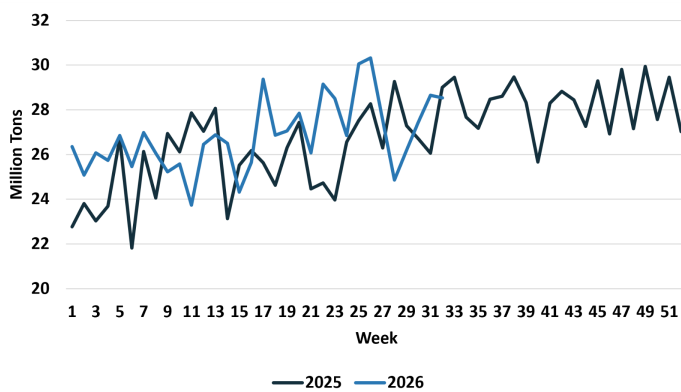
Top left chart: Shipment volumes were up 3.3% year on year through week 33. In the last eight weeks, volumes were down 1% compared to the same period last year. Supply growth was 4.2% at the latest reading.

Top right chart: The 2-month lead of the coal futures curve suggests the market could be past the peak.

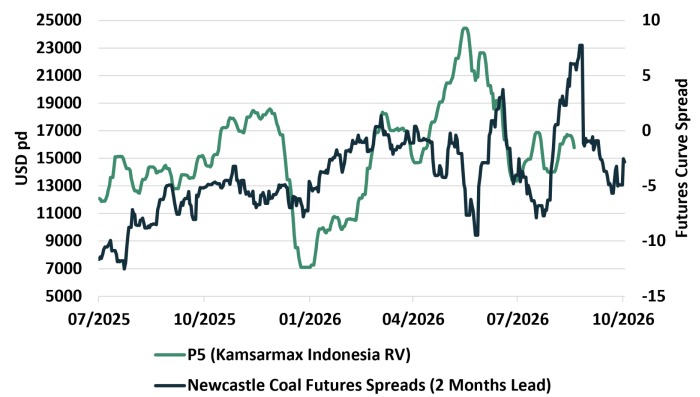
Bottom left chart: The Pacific tightness indicator suggests market softness going forward.

Bottom right chart: The SATL tightness indicator suggests P6 could rise a bit more, then decline starting next month.

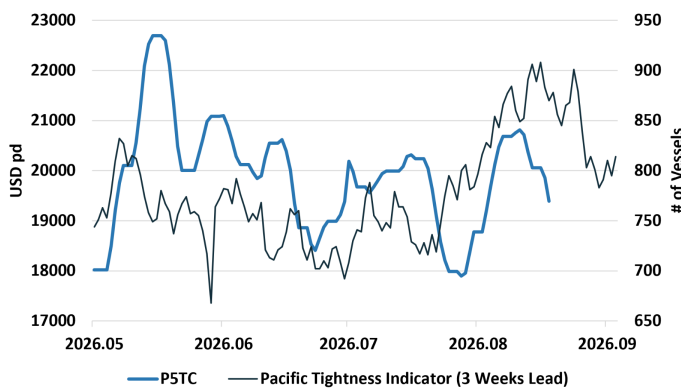
Weekly Shipment Volumes



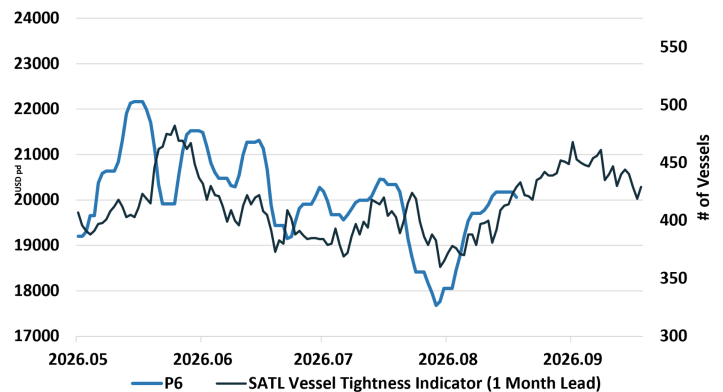
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 3 Weeks)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)





Supramax/Ultramax

Through last week, shipment volume growth was 4.1%, compared to DWT supply growth of 5.2%. Like last week, we still find the Q4 futures curve too optimistic, as fundamentals continue to soften and as near-term indicators suggest sideways at best.

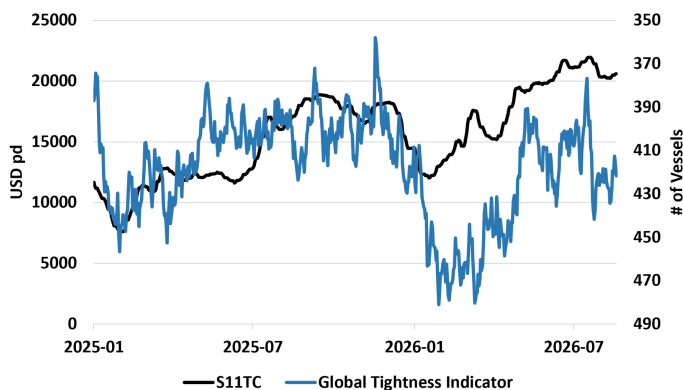
Top left chart: The global tightness indicator combines the three other indicators. The longer term average is 418, and the latest reading is 422. "Sideways" therefore seems the most likely near-term direction.

Top right chart: The chart indicates the tightness in the South Atlantic basin. A lower reading reflects tighter market conditions, but can also suggest a near-term market peak. Conversely, a higher reading suggest looser market conditions but can also suggest a near-term market bottom. The longer-term average is 247, and the latest reading is 212.

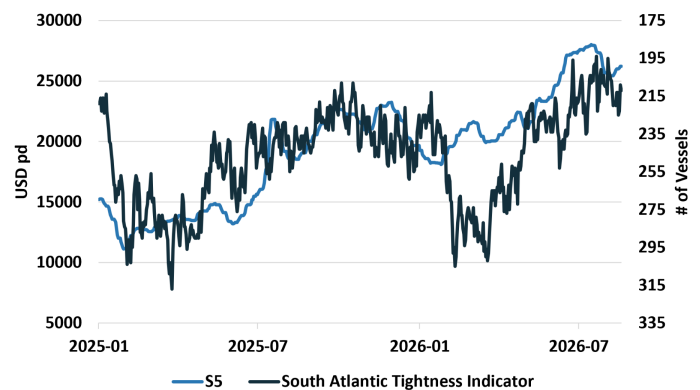
Bottom left chart: The chart indicates the tightness in the Pacific basin. A lower reading reflects tighter market conditions, but can also suggest a near-term market peak. Conversely, a higher reading suggest looser market conditions but can also suggest a near-term market bottom. The longer-term average is 719, and the latest reading is 784.

Bottom right chart: The chart indicates the tightness in the North Atlantic basin. A lower reading reflects tighter market conditions, but can also suggest a near-term market peak. Conversely, a higher reading suggests looser market conditions but can also suggest a near-term market bottom. The longer-term average is 287, and the latest reading is 269.

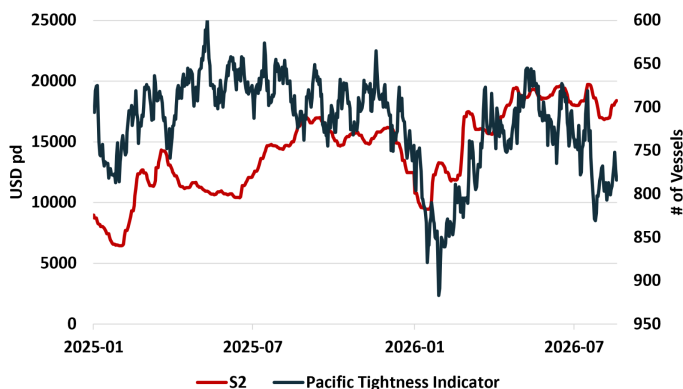
S11TC vs Global Tightness Indicator



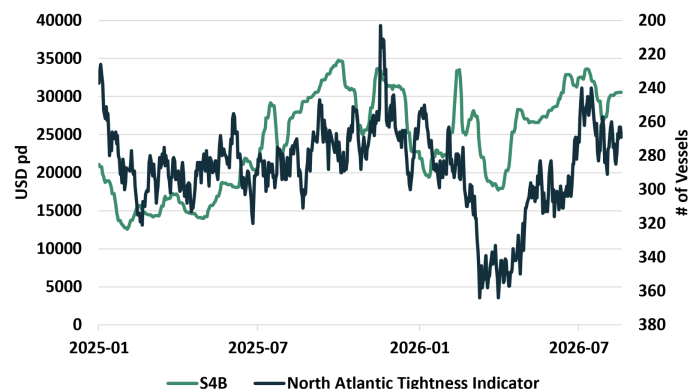
S5 vs South Atlantic Tightness Indicator



S2 vs Pacific Tightness Indicator



S4B vs North Atlantic Tightness Indicator



Handysize

In the last few weeks, we have been pointing to the possibility of a slight rebound. The slight rise in the Ultramax market, along with the low HS3/HS5 ratio, still points toward that. However, as in the Kamsarmax and Ultramax segments, shipment volume growth keeps declining and is below DWT supply growth in this segment as well now.

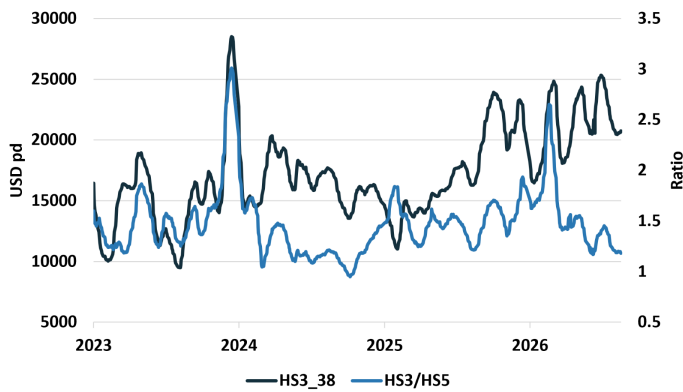
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 33, Handysize shipment volumes were 2.6% higher year on year, declining from the 3%+ figures seen in the last months. DWT supply growth was 3.2% at the latest reading.

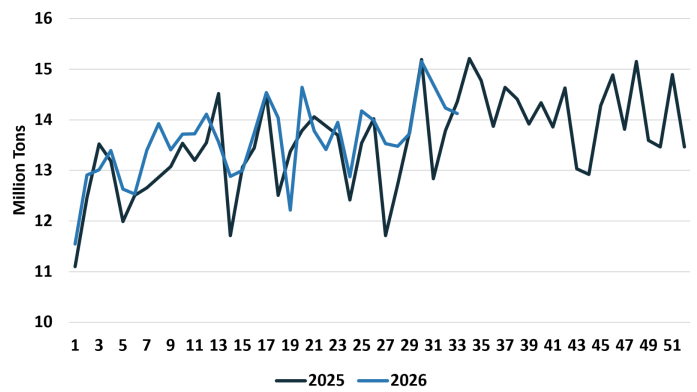
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

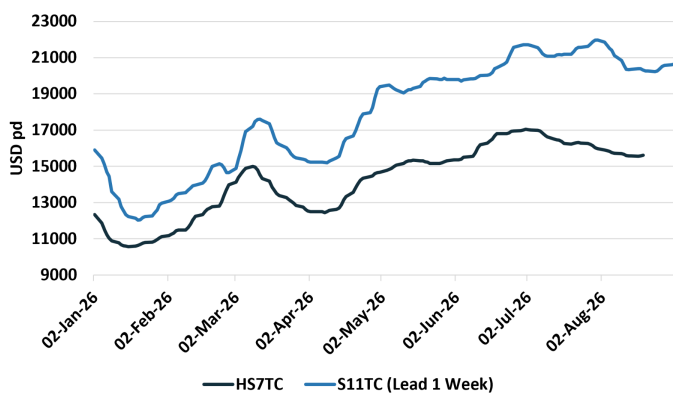
HS3 vs Ratio of HS3 and HS5



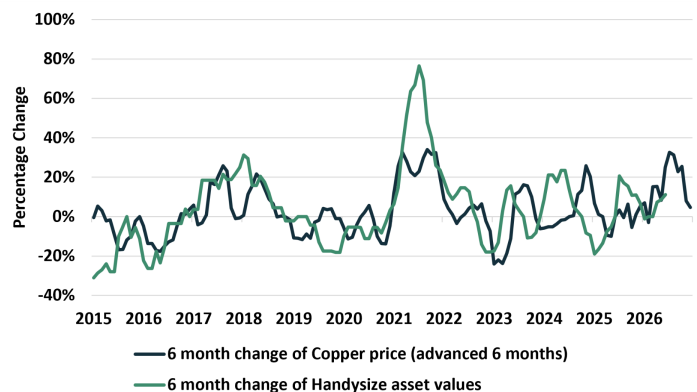
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change





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